

sizes, and auto market makers are not committing capital for large trades as the traditional market makers once did.

Quantitative Trading/Statistical Arbitrage

Traditional statistical arbitrage trading is trying to profit between a mispricing in different markets, in indexes, or even ETFs. Additionally, statistical arbitrage trading strategies in the high frequency sense will try to determine profiting opportunities from stocks that are expected to increase or decrease in value, or at least increase or decrease in value compared to another stock or group of stocks (e.g., relative returns). Utilizing short time frame “long-short” strategies relies on real-time market data and quote information, as well as other statistical models (such as PCA, probit and logit models, etc.). These traders do not necessarily seek to close out all positions by the end of the day in order to limit overnight risk, because they are based on alpha expectations and the profit and loss is expected to be derived from the alpha strategies, not entirely from the bid-offer spread. This is the traditional statistical arbitrage strategy in the past, but the time horizon could be much shorter now due to potential opportunity, better real-time data, and faster connectivity and computational speeds. This category of trading could also include technical analysis based strategies as well as quant models (pairs, cointegration). These types of trading strategies have traditionally been considered as short-term or medium-term strategies, but due to algorithmic and electronic trading, and access to an abundance of real-time data and faster computers, these strategies have become much more short-term, reduced to hours or minutes, and are now also considered as HFT strategies. However, they do not necessarily need to be that short-term or an HFT strategy. These participants are less constrained by the holding period of the positions (time) and most concerned by the expected alpha of the strategy.

Rebate/Liquidity Trading

This is the type of trading strategy that relies primarily on market order flow information and other information that can be inferred or perceived from market order flow and real-time pricing, including trades, quotes, depth of book, etc. These strategies include “pinging” and/or “flash” orders, and a strong utilization of dark pools and crossing venues (e.g., non-traditional trading venues). Many of these non-traditional trading venues have structures (such as the usage of flash orders) that may allow certain parties to have access to some information before other parties. These traders seek to infer buying and selling pressure in the market based on expected order flow and hope to profit from this information. The liquidity trading